Net profit after tax = Gross profit + Indirect income – Indirect expenses – Tax

(OR)

Net profit after tax = Revenue from operations – Cost of revenue from operations – Operating expenses –Non operating expenses + Non-operating income - Tax

Net profit ratio is an indicator of the overall profitability of the business. A higher net profit ratio indicates high profitability.

Illustration 16

From the following details of a business concern calculate net profit ratio.

Particulars	₹
Revenue from operations	3,50,000
Cost of revenue from operations	1,50,000
Administration expenses	50,000
Selling expenses	10,000

Solution

$$\text{Net profit ratio} = \frac{\text{Net profit after tax}}{\text{Revenue from operations}} \times 100 = \frac{1,40,000}{3,50,000} \times 100 = 40\%$$

Net profit = Revenue from operations – Cost of revenue from operations – Administration expenses – Selling expenses

= 3,50,000 – 1,50,000 – 50,000 – 10,000 = ₹ 1,40,000

Tutorial note

It is assumed that there is no tax payable.

Illustration 17

From the following statement of profit and loss of Mukesh Ltd. calculate

(i) Gross profit ratio (ii) Net profit ratio.

Statement of Profit and Loss

Particulars	Amount ₹
I. Revenue from operations	5,00,000
II. Other income:	
Income from investment	40,000
III. Total revenues (I+II)	**5,40,000**
IV. Expenses:	
Purchase of stock in trade	1,80,000
Changes in inventories	20,000
Employee benefits expense	30,000
Other expenses	1,10,000
Provision for tax	50,000
Total expenses	3,90,000
V. Profit for the year	**1,50,000**

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